OUR STRATEGIC FRAMEWORK SWOT & TOWS

Our strategic planning process is shaped by a future-focused vision that connects our enduring strengths with emerging global opportunities, while reinforcing the principles of the Haycarb Strategy, Capitals Connectivity, and long-term Value Creation. Through a comprehensive understanding of our internal capabilities and the rapidly evolving external environment, we continuously refine our strategic direction to strengthen resilience, accelerate sustainable growth, and deliver meaningful impact for all stakeholders.

Anchored in integrated thinking, our SWOT and TOWS framework serves as a strategic compass that aligns operational excellence, innovation, sustainability leadership, and stakeholder value creation across the Group. By connecting our financial, manufactured, intellectual, human, social and relationship, and natural capitals, the framework enables Haycarb to create synergies across businesses and markets while driving sustainable outcomes beyond immediate performance.

Our framework explores four interconnected strategic dimensions:

» Strengths–Opportunities (SO): Leveraging our core strengths, technological expertise, and global presence to capture emerging opportunities and create sustainable value.

» Strengths–Threats (ST): Utilising our capabilities, integrated business model, and strategic agility to navigate uncertainties and mitigate external risks.

» Weaknesses–Opportunities (WO): Transforming opportunities into pathways for overcoming internal limitations, strengthening competitiveness, and enhancing capital connectivity.

» Weaknesses–Threats (WT): Building resilience, adaptability, and operational discipline to minimise vulnerabilities in an increasingly dynamic global landscape.

The insights derived from this integrated framework shape the Group's strategic priorities for the financial year ahead, guiding Haycarb toward a future defined by sustainable innovation, intelligent growth, connected capital stewardship, and enduring value creation for shareholders, customers, communities, and the environment

Priority / Immediate Action
Medium Priority / Monitor Closely
High Risk / Strategic Mitigation Required

	Opportunities (O)	Threats (T)
	O1 Strong growth across Asia-Pacific , with increasing demand in Africa for sustainable carbon solutions **O2** Breakthrough advancements in green manufacturing and AI-driven process optimisation **O3** Greater regional integration and strategic partnerships to secure raw materials and support joint ventures **O4** Ongoing shift toward a low-carbon economy	**T1** Increasing competitive pressure leading to tighter profit margins **T2** Geo-political tensions with middle east crisis affecting logistics, freight cost and energy cost **T3** Ongoing supply chain challenges along with gradually rising logistics and freight costs in the current environment **T4** Expansion of substitute materials driven by limited coconut shell charcoal availability **T5** Evolving regulations affecting carbon-intensive inputs
Strengths (S) **S1** Strong global brand recognition and leading market position **S2** Robust R&D capabilities with a high level of innovation agility **S3** Deep commitment to sustainability and responsible business practices **S4** Experienced leadership team with strong adaptability **S5** Sound financial management and consistent, stable performance **S6** A leadership position in ability to develop, manufacture and market energy storage carbon	**SO STRATEGIES** Broaden the presence of premium products across East Asia and India to capitalise on rising market demand (S1, O1) Advance R&D initiatives for next-generation carbon solutions and sustainable applications (S2, S5, O2, O4) Scale Environmental Engineering Solutions operations into the Maldives and Southeast Asian markets (S1, O3) Expansion of energy storage carbon capabilities through strategic expansions and collaborative R&D with customers.(S6,O2)	**ST STRATEGIES** Strengthen supplier networks near key raw material hubs while advancing backward integration through sustainable green charcoaling technologies (S3, T3) Drive innovation to minimise substitution risks and diversify raw material inputs (S2, S3, T4) Greater alignment to sustainable energy usage through internal expertise and latest technologies (S3,T2) Expand the high-margin product portfolio to mitigate pricing pressures and strengthen profitability (S5, T1) Implement digitalised procurement and raw material tracking systems to improve supply chain resilience and visibility (S2, T3)
Weaknesses (W) **W1** Exposure to volatility in commodity prices **W2** Dependence on coconut shell-based raw material supply chains **W3** Rising manufacturing, energy, and operational expenditure **W4** Significant capital investment requirements and working capital pressures	**WO STRATEGIES** Diversify sourcing through partnerships in key coconut-producing regions (W2, W3, O1) Invest in green production, automation, and energy efficiency (W3, W4, O2) Strengthen backward integration and strategic supply partnerships (W2, O3)	**WT STRATEGIES** Implement hedging strategies to manage raw material price and currency volatility (W1, T2) Accelerate R&D on alternative non-coconut-based solutions for targeted market segments (W2, W3, T4) Explore blended and long-term financing solutions to support capacity expansion, sustainability initiatives, and competitive positioning (W4, T1)